

# Powering AI

**The SOFC opportunity; undersupplied through 2030**

- ◆ SOFC penetrates AIDC BTM prime power due to 3-4 month lead times, zero-NOx operation, and efficient native-DC output
- ◆ US/Korea/Taiwan/EU driving adoption; by 2030: capacity is scaling up to 5GW+; DOE targets at USD900/kW system cost
- ◆ We like Buy-rated Bloom (global SOFC leader) and Weichai (gas/diesel engine; SOFC capacity ramping)

**SOFC is penetrating AIDC** for “behind-the-meter” prime power (ex. 2), despite high CAPEX and recurring 5-7 years’ stack replacement costs, due to:

- 1) shorter lead time** of 3-4 months vs 1-2 years for engines, 3-5 years for turbines;
- 2) clean** with no NOx emission via electrochemical reactions versus combustion;
- 3) efficient** high electrical efficiency (55-65%), native direct current eliminating costly AC-DC conversion losses. Aligning 800V HVDC architectures is a next-gen approach that reduces USD1-2bn of BOP conversion equipment and improves token/kW.

**Beyond the US and AIDC:** Ceres estimates SOFC TAM will reach 22GW by 2030.

Apart from 24% US market and c50% DC usage, other highlights include: 1) **South Korea:** Utility scale commercialization is supported by National Clean Hydrogen Portfolio Standard; 2) **Taiwan:** grid fragility, stringent RE100 requirements for semi fabs and subsidies accelerate localized microgrid deployments; 3) **EU:** carbon pricing and marine propulsion decarbonization drive broader SOFC adoption.

**Scale-up and cost-down pathway:** Bloom targets 2GW before YE-2026 and possibly 5GW by 2030, while Ceres’s partners (Weichai, Doosan, Delta) targets c100MW by end 2026 and c1GW by 2030. Key bottlenecks include the supply of Scandium, ceramic electrolytes, and Balance of Plant components (c70% of system cost). Economies of scale and lower-temperature metal-supported architecture will drive cost reduction in longer term. We believe Bloom has largely de-risked its expansion plans while management’s double-digit annual cost-down target will be aided by Moore’s Law. Rystad estimates SOFC system costs will fall 20-25% by 2030, vs DOE total system CAPEX of USD900/kW by 2030e (from USD3,000/kW).

**Related companies** along the value chain include **Ceres** (SOFC tech developer), **Doosan Fuel Cell** (SOFC leader in South Korea), **Delta** (SOFC leader in Taiwan), **Three-Circle** (BE’s key electrolyte supplier), **Kaori** (BE’s hot box supplier).

We like Buy-rated **Bloom** (global SOFC leader) and **Weichai** (gas/diesel engine; SOFC capacity ramping). **Key downside risks** include slower AIDC buildout, elevated SOFC capital costs, and quicker capacity ramp of gas turbines and gensets.

**Our global coverage of companies that provide SOFC**

| Company           | Ticker    | Currency | Current price | TP Unchanged | Rating Unchanged | Upside/downside | Market cap (USDm) | 3m ADTV (USDm) | P/B 2026e | P/E 2026e | ROE 2026e |
|-------------------|-----------|----------|---------------|--------------|------------------|-----------------|-------------------|----------------|-----------|-----------|-----------|
| Bloom Energy      | BE US     | USD      | 302.70        | 350.00       | Buy              | 15.6%           | 86,101            | 2,851.5        | 61.4      | 127.2     | 67.6      |
| Weichai Power – H | 2338 HK   | HKD      | 34.10         | 50.00        | Buy              | 46.6%           | 35,400            | 102.5          | 3.0       | 17.5      | 12.2      |
| Weichai Power – A | 000338 CH | CNY      | 27.25         | 42.00        | Buy              | 54.1%           | 35,400            | 530.4          | 2.7       | 16.1      | 12.2      |

Source: LSEG Eikon, HSBC estimates. Priced as of close on 30 June 2026

## Equities Machinery

Global

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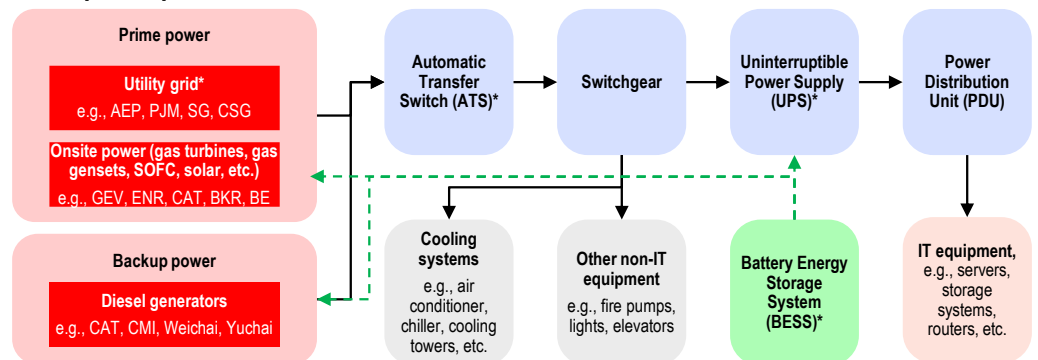
### Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

**Issuer of report:** The Hongkong and Shanghai Banking Corporation Limited

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## 1: Simplified power structure of a datacentre



Source: Company data, coresite.com, Blueocean, HSBC; \*We highlight some relevant companies for utility power and grid operation companies, i.e., American Electric Power (AEP US, not rated), PJM Interconnection (PJM, private), SG (State Grid group, private) and CSG (China Southern Power Grid, private). ATS continuously monitors utility power and shifts the load to backup generators during power outages. UPS is a battery-backed solution used to bridge the grid operation for servers until the backup generators take over the grid supply. Most UPSs have an average capacity of 50 to 300kW, providing around 20-30 minutes of backup power in case of sudden outages. BESS is essentially large-scale rechargeable battery banks with intelligent controls, capable of storing electricity and discharging it on demand. In a datacentre, a BESS typically integrates with the facility's power infrastructure (often alongside UPS units and generators) to provide a reservoir of instantly available energy.

## Comparison of major behind-the-meter prime power solutions

### 2: Comparison of major prime power solution in the US

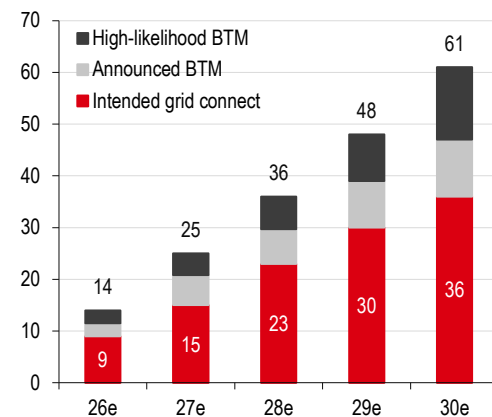
| Metric                                | Solid Oxide Fuel Cells (SOFC)                                         | Aeroderivative GT                                                  | Industrial GT                                   | Small / Medium CCGT                                                  | H-Class CCGT                                      | Medium-Speed RICE                                            | High-Speed RICE                                                      |
|---------------------------------------|-----------------------------------------------------------------------|--------------------------------------------------------------------|-------------------------------------------------|----------------------------------------------------------------------|---------------------------------------------------|--------------------------------------------------------------|----------------------------------------------------------------------|
| Typical Unit Size (MW)                | 0.3 - 1.0 (Modular Blocks)                                            | 30 - 60                                                            | 5 - 50                                          | 40 - 100                                                             | 600 - 1,000                                       | 7 - 20                                                       | 3 - 5                                                                |
| Equipment Lead Time                   | 3 - 4 Months                                                          | 18 - 36 Months                                                     | 12 - 36 Months                                  | 18 - 36 Months                                                       | 36 - 60 Months                                    | 15 - 24 Months                                               | 15 - 24 Months                                                       |
| Electrical Efficiency                 | 55% - 65%                                                             | 35% - 40%                                                          | 35% - 40%                                       | 40% - 55%                                                            | 50% - 60%                                         | 40% - 50%                                                    | 40% - 50%                                                            |
| Equipment Cost (USD/kW)               | 3,500 - 5,000;<br>2,100-3,500 post subsidies, incl. BOP               | 1,000 - 1,200                                                      | 1,000 - 1,500                                   | 1,100 - 1,600                                                        | 1,000 - 1,400                                     | 700 - 1,100                                                  | 500 - 900                                                            |
| Fully Installed Capital Cost (USD/kW) | 2,800 - 4,500 post subsidies                                          | 1,600 - 1,800                                                      | 1,400 - 1,800                                   | 1,700 - 2,300                                                        | 1,600 - 2,000                                     | 1,400 - 1,800                                                | 1,200 - 1,600                                                        |
| LCOE (USD/MWh)                        | 100 - 200                                                             | 80 - 130                                                           | 65 - 110                                        | 85 - 160                                                             | 60 - 100                                          | 80 - 150                                                     | 120 - 200                                                            |
| Major Maintenance                     | Every 5-7 years: complete stack replacements                          | Every 3-4 years: Hot gas path overhauls, turbine blade degradation | Every 4-5 years: Scheduled combustion overhauls | Every 4-6 years: Complex steam-cycle integration, turbine overhauls. | Every 4-5 years: Major statutory outage overhauls | Every 4-5 years: Mid-life top overhauls, bearing inspections | Every 1-2 years: Frequent lube oil/filter changes, valve adjustments |
| Native Output                         | Direct Current, Native 800V                                           | Alternating Current                                                | Alternating Current                             | Alternating Current                                                  | Alternating Current                               | Alternating Current                                          | Alternating Current                                                  |
| Criteria Emissions                    | Negligible / Zero (No combustion)                                     | Moderate to High (Requires costly SCR)                             | Moderate to High                                | Moderate (Thermal NOx generation)                                    | Low to Moderate (Highly optimized utility scale)  | High (Strict local air permit bottlenecks)                   | High (Strict local air permit bottlenecks)                           |
| Major Suppliers                       | Bloom Energy, Ceres – partnered with Doosan Fuel Cell, Weichai, Delta | GE Vernova, Siemens Energy, Solar Turbines (CAT)                   | Solar Turbines (CAT), Siemens Energy, Kawasaki  | GE Vernova, Siemens Energy, Mitsubishi Power                         | GE Vernova, Siemens Energy, Mitsubishi Power      | Wartsila, Everllence, Caterpillar                            | Caterpillar, INNIO, Rolls-Royce (MTU), Cummins, Weichai, Yuchai      |

Source: SemiAnalysis, NREL (National Renewable Energy Lab), EIA (Energy Information Administration), Gas Turbine World, DOE (Department of Energy), HSBC; LCOE = Levelized cost of energy, which is a metric that calculates the average cost to generate one unit of electricity over the entire lifetime of a power plant, including initial capital costs, fuel, operations, maintenance, and decommissioning; Fully installed capital cost include all expenses beyond the bare equipment price, such as transportation, civil works, balance-of-plant systems (incl. fuel storage, emissions treatment, cooling, electrical switchgears and transformers, etc.), electrical interconnection, permitting, commissioning, etc., representing the full capital outlay required to bring the system into commercial operation; GT = Gas turbine; CCGT = combined cycle gas turbines; RICE = reciprocating internal combustion engines.

## Rising BTM

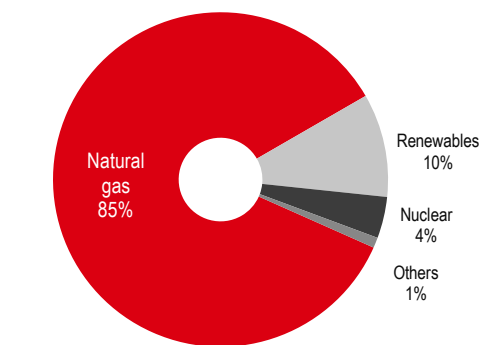
Rystad estimates c40% of 2026-30e US data center capacity additions will be located behind-the-meter (BTM). Of a total of 11 GW announced BTM projects, 85% have plans to utilize natural gas for firm power delivery while 10% target renewables and 4% will build out new nuclear capacity. The gap between renewables and nuclear is notable as it highlights the value of dispatchable power for hyperscale's navigating between scaling infrastructure and decarbonization.

**3: US data center cumulative upcoming added capacity by power sourcing strategy (GW)**



Source: Rystad Energy estimates, HSBC

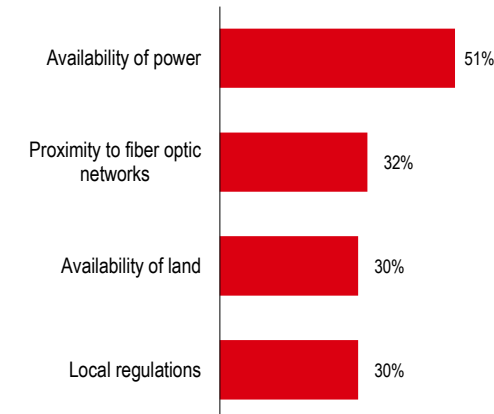
**4: Announced BTM fuel mix**



Source: Rystad Energy, HSBC

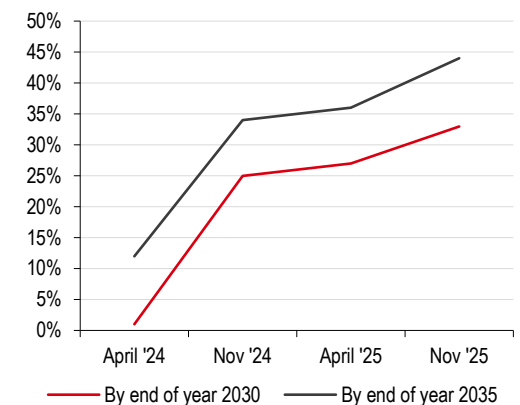
Bloom's bi-annual survey of US-based data centre developers find access to power remains the leading constraints for new projects. Longer and less predictable grid interconnection timelines are driving operators to develop materially larger data center campuses and incorporating onsite power generation, signaling a structural shift away from the traditional reliance on the grid. One-third of developers expect to operate fully permanent onsite power by 2030, rising to 45% by the end of 2035.

**5. Access to power is the main consideration for US DC developers**



Source: Bloom Energy 2026 Mid-Year Data Center Power Report, HSBC

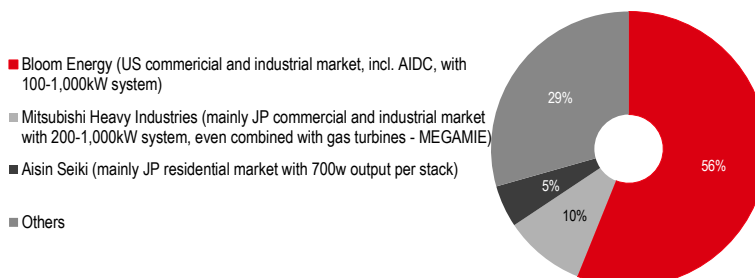
**6. % of data center developers anticipating 100% onsite power**



Source: Bloom Energy 2026 Data Center Power Report, HSBC

## Comparison of Bloom Energy and Ceres Power

### 7: Global SOFC system competitive landscape, 2023



Source: Global Market Monitor, HSBC

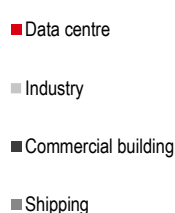
### 8: Comparison of Bloom Energy and Ceres Power

|                               | Bloom Energy (BE US)                                                                                                                                                                                                                               | Ceres Power (CWR LN) ecosystem                                                                                                             |
|-------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------|
|                               | <b>Asset-heavy integration &amp; equipment sales:</b>                                                                                                                                                                                              | <b>Asset-light IP licensing:</b>                                                                                                           |
| Business model                | builds its own factories; manufactures stacks, integrates BOP systems, and provides long-term O&M services.                                                                                                                                        | earns licence fees, engineering/technical service fees, and long-duration royalties from system integrators (licensees).                   |
| Stack output                  | 325kW to 80MW (under construction)                                                                                                                                                                                                                 | 100kW to 108MW (in theory)                                                                                                                 |
| SOFC tech                     | Ceramic-base (high cost)                                                                                                                                                                                                                           | Steel-base (lower cost)                                                                                                                    |
| Operating temperature         | 900°C                                                                                                                                                                                                                                              | 450-630°C                                                                                                                                  |
| Cold-start                    | Slow                                                                                                                                                                                                                                               | Faster                                                                                                                                     |
| Manufacturing partners        | None. Production is in-house via its Silicon Valley facility and assembly plants in Delaware and Korea.                                                                                                                                            | Doosan Fuel Cell (336260 KS), Weichai Power (2338 HK/000338 CH), Delta (2308 TT).                                                          |
| Capacity targets              | 2026: 2GW;<br>2030: 5GW.                                                                                                                                                                                                                           | 2026: Doosan's 50 MW plant ready in July 2025; Weichai's c30-200 MW plant in 2026-27E; Delta's c10 MW by end-2026.<br>2030: Weichai c1 GW. |
| AIDC order visibility         | Very high: Oracle (2.8 GW indicative order) and AEP (1 GW framework agreement); USD20bn backlog extends beyond 2028 and excludes a USD25bn strategic AI infrastructure partnership to build AI factories globally with Brookfield Asset Management | Nil data centre orders yet, but inflection is approaching, as Doosan, Weichai and Delta are ramping up capacity.                           |
| Current average selling price | USD3,400 per kW (equipment CAPEX only; excludes long-term services and reforming/expansion options).                                                                                                                                               | Weichai are estimated to price SOFC systems at USD3,000 per kW (RMB20,000 per kW).                                                         |
| Future ASP reduction targets  | Double digit decline per year.                                                                                                                                                                                                                     | Ceres expects 30% cost cut in Endura platform at scale.                                                                                    |

Source: Company data, HSBC

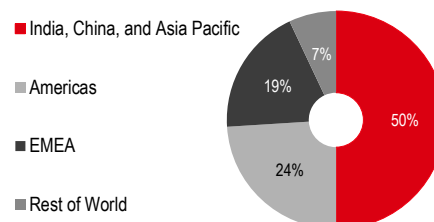
## Ceres's forecast on SOFC opportunity

### 9: Global market opportunity for solid oxide by end use case, 2030e



Source: Ceres Power forecast, HSBC

### 10: Global market opportunity for solid oxide by region, 2030e



Source: Ceres Power forecast, HSBC

## 11: Global market opportunity for SOFC

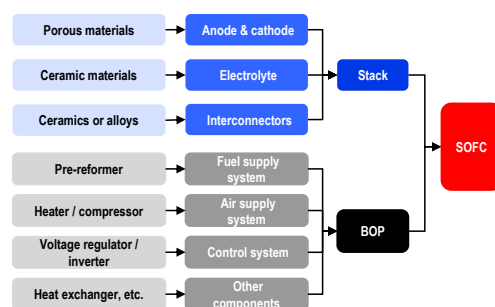
| Region          | Key Demand Drivers                                                        | Major Suppliers                                                      |
|-----------------|---------------------------------------------------------------------------|----------------------------------------------------------------------|
| South Korea     | CHPS mandate; national hydrogen roadmap                                   | Doosan; SK Ecoplant + Bloom                                          |
| Taiwan          | Semi/AI power needs vs weak grid; RE100; subsidies (up to NTD70k/kW)      | Bloom; Doosan; Delta                                                 |
| Japan           | Hydrogen strategy; ENE-FARM CHP legacy                                    | Kyocera; MHI; Aisin; Bloom                                           |
| Southeast Asia  | Data centers shifting to Malaysia/Indonesia with unstable grid conditions | Weichai; Delta (local ops planned); Bloom in Singapore               |
| Europe          | High EU-ETS carbon price; IMO marine net-zero targets                     | Ceres (licensor); Alfa Laval (marine SOFC); Bloom in Italy, UK       |
| Australia/India | Remote/off-grid (mining); DC backup                                       | Early-stage; local partners with global SOFC players; Bloom in India |

Source: government website, company data, HSBC; CHPS (Clean Hydrogen Portfolio Standard) mandate forces utilities to procure clean power; RE100 is a global corporate initiative led by the Climate Group, requiring members to source 100% of their electricity from renewable sources by 2050; ENE-FARM is Japan's residential fuel cell cogeneration system that extracts hydrogen from city gas to generate electricity while capturing waste heat for water heating. EU-ETS = EU Emission Trading System. IMO = International Maritime Organization

## Typical structure of a SOFC system

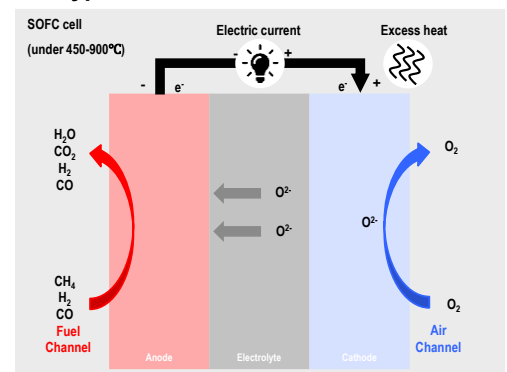
**A Solid Oxide Fuel Cell (SOFC) is a high-temperature electrochemical device that converts the chemical energy of a fuel – hydrogen (H<sub>2</sub>), carbon monoxide (CO), natural gas/methane (CH<sub>4</sub>), syngas (CO + H<sub>2</sub>), and biogas (CH<sub>4</sub> + CO<sub>2</sub>) – directly into electricity**

### 12: Typical structure of a SOFC system



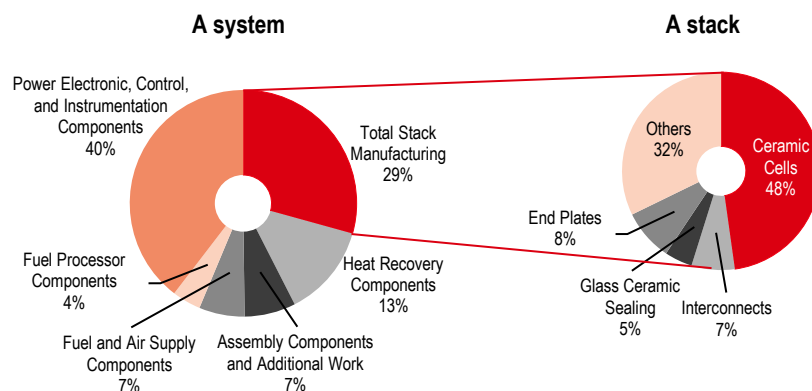
Source: chibaogao.com, HSBC

### 13: Typical structure of a SOFC cell



Source: Fuel, HSBC

## 14: Cost breakdown of a SOFC system and a stack (based on DOE's analysis in 2017 for the production of 1,000 units of 250kW stack per year)



Source: DOE, HSBC

## Other fuel cell techs

### Quick review of the major applications of hydrogen and the major fuel cell types

#### 15: Major applications of hydrogen products

| Category       | Typical power range | Typical fuel cell type        | Example                                                                 |
|----------------|---------------------|-------------------------------|-------------------------------------------------------------------------|
| Portable       | 1W to 20kW          | PEMFC, DMFC, SOFC             | Portable power, unmanned aerial vehicles                                |
| Stationary     | 0.5kW to 2MW        | PEMFC, DMFC, SOFC, MCFC, PAFC | Combined heat and power, uninterruptible power system, power generators |
| Transportation | 1kW to 300kW        | PEMFC, DMFC                   | PVs, trucks, buses and coaches, aviation, marine, e-bike                |

Source: E4Tech, HSBC

#### 16: Types of fuel cells by electrolyte used

| Item                  | Proton exchange membrane (PEMFC)<br>质子交换膜燃料电池       | Alkaline (AFC)<br>碱性燃料电池                                            | Molten carbonate (MCFC)<br>熔融碳酸盐燃料电池                            | Phosphoric Acid (PAFC)<br>磷酸燃料电池                         | Solid Oxide (SOFC)<br>固体氧化物燃料电池                         | Direct Methanol (DMFC)<br>直接甲醇燃料电池           |
|-----------------------|-----------------------------------------------------|---------------------------------------------------------------------|-----------------------------------------------------------------|----------------------------------------------------------|---------------------------------------------------------|----------------------------------------------|
| Fuel                  | H <sub>2</sub> , Methanol                           | H <sub>2</sub>                                                      | Natural gas; Liquefied petroleum gas; Gas                       | Natural gas; Liquefied petroleum gas; Methanol           | Natural gas; Liquefied petroleum gas; Gas               | Methanol                                     |
| Electrolyte           | Fluorinated proton membrane                         | Potassium hydroxide (KOH)                                           | Li <sub>2</sub> CO <sub>3</sub> -K <sub>2</sub> CO <sub>3</sub> | Phosphate                                                | Yttria-stabilized zirconia (YSZ)                        | Fluorinated proton membrane                  |
| Electrolyte condition | Solid-based                                         | Water-based                                                         | Water-based                                                     | Water-based                                              | Solid-based                                             | Solid-based                                  |
| Cathode               | Pt/C                                                | Pt/Ag                                                               | Li/NiO                                                          | Pt/C                                                     | Sr/LaMnO <sub>3</sub>                                   | Pt/C                                         |
| Anode                 | Pt/C                                                | Pt/Ni                                                               | Ni/Al; Ni/Cx                                                    | Pt/C                                                     | Ni/YSZ                                                  | Pt/C; Ru/C                                   |
| Core temp             | 50–100°C; 80°C typical                              | 90–100°C                                                            | 600–700°C                                                       | 150–200°C                                                | 700–1000°C                                              | 40–60°C                                      |
| Efficiency            | 35–60%                                              | 60%                                                                 | 50%                                                             | 40%                                                      | 60%                                                     | 20%                                          |
| Start-up time         | <5 s                                                | <10 mins                                                            | >10 mins                                                        | <10 mins                                                 | >10 mins                                                | -                                            |
| Applications          | Portable; stationary; automotive                    | Space; military; submarines; transport                              | Large power generation                                          | Medium to large power generation                         | Medium to large power generation                        | Portable; mobile; stationary use             |
| Advantages            | Compact design; long operating life; quick start-up | Low parts and operation costs; no compressor; fast cathode kinetics | High efficiency; flexible to fuel; co-generation                | Good tolerance to fuel impurities; co-generation         | Lenient to fuels; can use natural gas; highly efficient | Compact; feeds on methanol; no compressor    |
| Limitations           | Expensive catalyst; needs chemical grade fuel       | Large size; sensitive to hydrogen and oxygen impurities             | High heat causes corrosion; long start-up; short life           | Low efficiency; limited service life; expensive catalyst | High heat levels cause corrosion; long start-up         | Complex stack; slow response; low efficiency |

Source: Ofweek, HSBC

#### 17: Relevant companies

| Company          | Ticker    | Rating | Currency | TP      | CMP      | Description                   |
|------------------|-----------|--------|----------|---------|----------|-------------------------------|
| Ceres            | CWR LN    | NR     | GBP      | n/a     | 509.5    | SOFC tech developer           |
| Doosan Fuel Cell | 336260 KS | NR     | KRW      | n/a     | 56,000.0 | SOFC leader in South Korea    |
| Delta            | 2308 TT   | Buy    | TWD      | 2,900.0 | 1,950.0  | SOFC leader in Taiwan         |
| Three-Circle*    | 300408 CH | Buy    | CNY      | 91.0    | 166.9    | BE's key electrolyte supplier |
| Kaori            | 8996 TT   | NR     | TWD      | n/a     | 1,550.0  | BE's hot box supplier         |

Source: Bloomberg, HSBC estimate; as of 30 June; \* HSBC Qianhai

## HSBC related research

[Ballard Power Systems \(BLDP US\): Expanding the H2 TAM with GeoPura](#), 24 June 2026

[Equity Snap: Bloom Energy \(BE US\): Notes from HSBC US Tech Tour](#), 15 June 2026

[Powering AI: Positive read-across from Cummins and Deere](#), 26 May 2026

[Powering AI: AIDC prime power: from gas turbine to gensets](#), 2 April 2026

[Powering AI – US \(5\): Companies with exposure to the theme](#), 14 April 2026

[Powering AI – US \(4\): The challenge of grid bottlenecks](#), 7 April 2026

[Powering AI – US \(3\): The affordability challenge](#), 26 March 2026

[Assessing AI bottlenecks: Data centre equipment suppliers on the up](#), 25 March 2026

[Powering AI – US \(2\): It's a sellers' market – Power value chain benefits](#), 20 March 2026

[China Power Utilities: The AI power story II](#), 17 March 2026

[Powering AI – US: A new era of electricity load growth](#), 13 March 2026

[China power equipment: How Chinese gas turbines go overseas](#), 6 March 2026

[Powering AI: Diverging between the US & China](#), 27 November 2025

[Assessing AI bottlenecks: Gas power equipment ramping up](#), 19 November 2025

[US Hydrogen: Notes from Green Hydrogen Summit USA](#), 9 October 2025

[US Hydrogen: Big Beautiful Bill avoids negative-case scenario](#), 11 July 2025

[US Clean Tech: One Big Beautiful Bill Act provides IRA tax clarity](#), 11 July 2025

[Power equipment OEMs: Diversified suppliers: broad-based upcycle](#), 22 May 2025

[US Clean Tech: Trump DOE provides land for powering data center](#), 7 April 2025

[China Power Utilities - The AI power story](#), 10 March 2025

[Datacentre equipment: Thank heavens for Jevons](#), 10 February 2025

[US Clean Tech – New model for powering AI datacenters](#), 29 January 2025

## Valuation and risks

| Valuation                                                  |                                                                                                                  | Risks to our view                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Bloom Energy Corp</b><br><b>BE US</b><br><br><b>Buy</b> | Current price:<br><b>USD302.70</b><br><br>Target price:<br><b>USD350.00</b><br><br>Up/downside:<br><b>+15.6%</b> | <b>Methodology:</b> DCF methodology (FCF).<br><br><b>Assumptions:</b> WACC of 14.7% (unchanged and below Bloomberg's estimate of 24.7%) incorporates HSBC's global risk-free rate of 4.25% (unchanged) and US equity risk premium of 4.0% (unchanged), and a 2.657 beta for Bloomberg (unchanged). We assume an exit EV/EBITDA multiple for our terminal value beyond 2031e of 35.0x, (unchanged), which is below Bloom's five-year trailing average of 39.0x and 12-month average of 63.6x. We believe a higher premium closer to the five-year average is warranted as growth starts to normalize.<br><br>Our TP of USD350 (unchanged) implies c15.6% upside and we continue to rate the shares Buy. |
|                                                            |                                                                                                                  | <b>Downside risks</b> <ul style="list-style-type: none"> <li>High concentration of activities in the US, as well as ownership and voting power by Chairman and CEO KR Sridhar.</li> <li>Bloom is executing on a significant manufacturing capacity expansion over the next year, which could be delayed or negatively impacted by cost overruns.</li> <li>Rising input and logistics costs can adversely impact Bloom's profitability and cash flow.</li> <li>Limiting gas hook-ups could impact Bloom's legacy power generation business.</li> <li>Change in US government incentives for clean energy can impact demand for Bloom's products.</li> </ul>                                             |
| Samantha Hoh   samantha.hoh@us.hsbc.com   +1 212-525-8783  |                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |

Priced at close of 30 June 2026  
 Source: Bloomberg, HSBC estimates

### Bloom Energy: DCF summary

| USDm                         | 2025a         | 2Q-4Q26e | 2027e | 2028e | 2029e | 2030e | 2031e | 2032e |
|------------------------------|---------------|----------|-------|-------|-------|-------|-------|-------|
| Adjusted free cash flow      | 509           | 1,003    | 2,349 | 3,546 | 4,877 | 6,276 | 7,287 | 7,707 |
| Risk-free rate               | 4.25%         |          |       |       |       |       |       |       |
| Market risk premium          | 4.00%         |          |       |       |       |       |       |       |
| Beta                         | 2.657         |          |       |       |       |       |       |       |
| HSBC WACC                    | 14.7%         |          |       |       |       |       |       |       |
| Discounted FCF               | 0             | 1,003    | 2,048 | 2,697 | 3,234 | 3,629 | 3,674 | 3,388 |
| Terminal value               | 92,170        |          |       |       |       |       |       |       |
| EV                           | 111,842       |          |       |       |       |       |       |       |
| Net debt                     | 84            |          |       |       |       |       |       |       |
| Market cap                   | 111,758       |          |       |       |       |       |       |       |
| <b>Value per share (USD)</b> | <b>350.00</b> |          |       |       |       |       |       |       |

Source: Bloomberg, HSBC estimates

| Valuation                                                                         |                                                                                                                                                                        | Risks                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|-----------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Weichai Power</b><br><b>2338 HK/</b><br><b>000338 CH</b><br><br><b>Buy/Buy</b> | Current price:<br><b>HKD34.10</b><br><b>RMB27.25</b><br><br>Target price:<br><b>HKD50.00</b><br><b>RMB42.00</b><br><br>Upside:<br><b>H: +46.6%</b><br><b>A: +54.1%</b> | <b>Methodology:</b> Sum-of-the parts approach and target PE multiple<br><br><b>Assumptions:</b> We use a sum-of-the-parts approach to value Weichai. We illustrate our valuation for each part in the table below.<br><br>We maintain our rounded H-share target price at HKD50.00 (unchanged). We use an A/H premium of -2% (unchanged), the YTD average, to factor in the converging AH premium. Thus, we also maintain our rounded A-share target price at RMB42.00 (unchanged).<br><br>Our H/A-share target prices imply c47%/54% upside, respectively, therefore we maintain our Buy/Buy ratings. We are positive on its AIDC power business growth. |
|                                                                                   |                                                                                                                                                                        | <b>Downside risks:</b> Unexpected slowdown in AIDC buildout, softer large engine sales (especially gas gensets for prime power and diesel engines for backup power), delayed SOFC deliveries and HDT renewals, and hawkish Fed.                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Helen Fang*   helen.c.fang@hsbc.com.hk   +852 2996 6942                           |                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |

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 Priced at 30 June 2026  
 Source: HSBC estimates

**Weichai Power: SOTP approach**

|                                            | Valuation method       | Estimate year | % contribution to TP | Valuation assumptions/rationale                                                                                                                                                                                                                                                                                                                                                                                                                    |
|--------------------------------------------|------------------------|---------------|----------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| HDT-related and other business             | PE                     | 2027e         | 24%                  | We value HDT-related and other business using a target PE for 2027e of 9x, the average PE for the last downcycle to reflect the negative impact from fierce HDT competition and electric adoption (unchanged). Applying our target PE multiple to our EPS for 2027e of RMB1.13 (unchanged) and using HSBC's end-2026 HKD-RMB rate of 1.17 (unchanged) renders its valuation per share to Weichai's valuation, i.e., HKD11.59/RMB10.19 (unchanged). |
| Large diameter engine for data centers     | PE                     | 2027e         | 54%                  | We value the large diameter engine for the data center business using a target PE for 2027e of 31x (unchanged), the market cap weighted average 1-year forward PE of the key comparables, as of 21 May 2026. Applying our target PE multiple to our EPS for 2027e of RMB0.75 (unchanged) and using HSBC's end-2026 HKD-RMB rate of 1.17 (unchanged) renders its valuation per share to Weichai's valuation, i.e., HKD27.27/RMB23.25 (unchanged).   |
| SOFC business                              | PS                     | 2027e         | 11%                  | We use Bloom Energy's PS ratio of 13.9x as of 21 May 2026 (unchanged) to value Weichai's SOFC business, as BE is a leader in the market.<br>Applying our target PS multiple to our sales for 2027e of RMB2,975m (unchanged) and using HSBC's end-2026 HKD-RMB rate of 1.17 (unchanged) renders its valuation per share to Weichai's valuation, i.e., HKD5.57/RMB4.75 (unchanged).                                                                  |
| Smart logistics business - KION            | Bloomberg consensus TP | 2027e         | 8%                   | We value Weichai's 46.52% stake in Kion (KGX GR, EUR38.77, not rated) using the Bloomberg consensus target price of EUR60.61 as of 21 May 2026 (unchanged), multiplying Kion's number of outstanding shares and using HSBC's end-2026 EUR-RMB rate of 7.85 (unchanged). Then dividing by Weichai's number of outstanding shares, we derive Kion's valuation per share contributing to Weichai's valuation, i.e., HKD3.91/RMB3.33 (unchanged).      |
| Agricultural machinery business PE - Lovol |                        | 2027e         | 3%                   | We value the agricultural machinery business using a target PE for 2027e of 14.8x (unchanged), the 1-year forward PE of First Tractor (601038 CH, RMB10.59, not rated) as of 21 May 2026.<br>Applying our target PE multiple to our EPS for 2027e of RMB0.08 (unchanged) and using HSBC's end-2026 HKD-RMB rate of 1.17 (unchanged) renders its valuation per share to Weichai's valuation, i.e., HKD1.43/RMB1.22 (unchanged).                     |

Source: Bloomberg, HSBC estimates. Priced at 30 June 2026

# Disclosure appendix

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The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

### Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile\*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile\*). Stocks between these bands were classified as Neutral.

\*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

### Rating distribution for long-term investment opportunities

As of 31 March 2026, the distribution of all independent ratings published by HSBC is as follows:

|             |     |                                                                                |
|-------------|-----|--------------------------------------------------------------------------------|
| <b>Buy</b>  | 59% | (12% of these provided with Investment Banking Services in the past 12 months) |
| <b>Hold</b> | 36% | (12% of these provided with Investment Banking Services in the past 12 months) |
| <b>Sell</b> | 6%  | (6% of these provided with Investment Banking Services in the past 12 months)  |

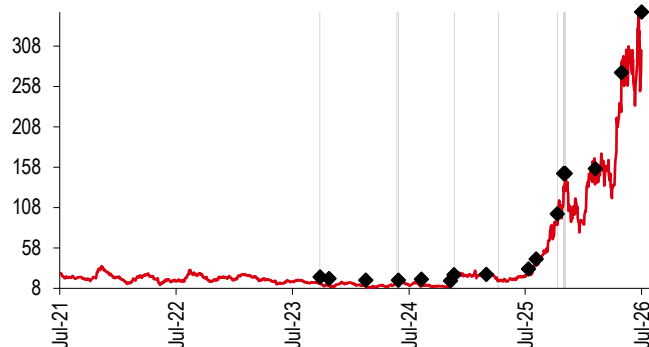
For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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### Share price and rating changes for long-term investment opportunities

#### Bloom Energy Corp (BE.N) share price performance

#### USD Vs HSBC rating history

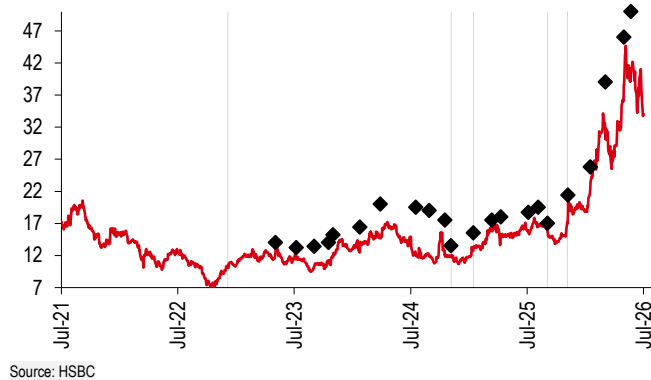


#### Rating & target price history

| From         | To         | Date        | Analyst           |
|--------------|------------|-------------|-------------------|
| N/A          | Buy        | 25 Sep 2023 | Samantha Hoh, CFA |
| Buy          | Restricted | 23 May 2024 |                   |
| Restricted   | Buy        | 28 May 2024 | Samantha Hoh, CFA |
| Buy          | Hold       | 19 Nov 2024 | Samantha Hoh, CFA |
| Hold         | Buy        | 08 Apr 2025 | Samantha Hoh, CFA |
| Buy          | Hold       | 09 Oct 2025 | Samantha Hoh, CFA |
| Hold         | Buy        | 29 Oct 2025 | Samantha Hoh, CFA |
| Buy          | Restricted | 30 Oct 2025 |                   |
| Restricted   | Buy        | 03 Nov 2025 | Samantha Hoh, CFA |
| Target price | Value      | Date        | Analyst           |
| Price 1      | 22.00      | 25 Sep 2023 | Samantha Hoh, CFA |
| Price 2      | 20.00      | 24 Oct 2023 | Samantha Hoh, CFA |
| Price 3      | 18.00      | 16 Feb 2024 | Samantha Hoh, CFA |
| Price 4      | Restricted | 23 May 2024 |                   |
| Price 5      | 18.00      | 28 May 2024 | Samantha Hoh, CFA |
| Price 6      | 19.00      | 09 Aug 2024 | Samantha Hoh, CFA |
| Price 7      | 17.20      | 08 Nov 2024 | Samantha Hoh, CFA |
| Price 8      | 24.50      | 19 Nov 2024 | Samantha Hoh, CFA |
| Price 9      | 25.00      | 28 Feb 2025 | Samantha Hoh, CFA |
| Price 10     | 32.00      | 11 Jul 2025 | Samantha Hoh, CFA |
| Price 11     | 44.00      | 04 Aug 2025 | Samantha Hoh, CFA |
| Price 12     | 100.00     | 09 Oct 2025 | Samantha Hoh, CFA |
| Price 13     | 150.00     | 29 Oct 2025 | Samantha Hoh, CFA |
| Price 14     | Restricted | 30 Oct 2025 |                   |
| Price 15     | 150.00     | 03 Nov 2025 | Samantha Hoh, CFA |
| Price 16     | 156.00     | 06 Feb 2026 | Samantha Hoh, CFA |
| Price 17     | 275.00     | 29 Apr 2026 | Samantha Hoh, CFA |
| Price 18     | 350.00     | 01 Jul 2026 | Samantha Hoh, CFA |

Source: HSBC

### Weichai Power (2338.HK) share price performance HKD Vs HSBC rating history

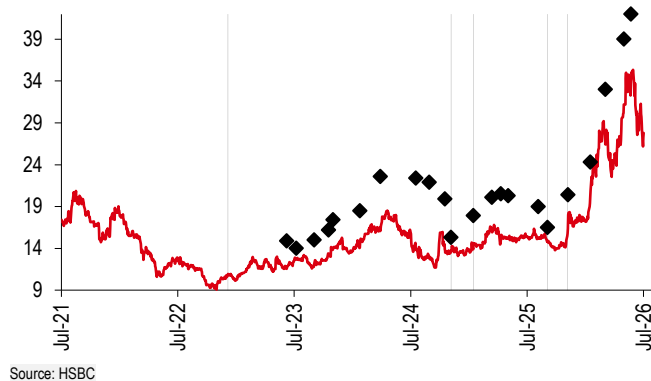


### Rating & target price history

| From         | To    | Date        | Analyst    |
|--------------|-------|-------------|------------|
| Hold         | Buy   | 05 Dec 2022 | Helen Fang |
| Buy          | Hold  | 04 Nov 2024 | Helen Fang |
| Hold         | Buy   | 13 Jan 2025 | Helen Fang |
| Buy          | Hold  | 02 Sep 2025 | Helen Fang |
| Hold         | Buy   | 05 Nov 2025 | Helen Fang |
| Target price | Value | Date        | Analyst    |
| Price 1      | 14.00 | 03 May 2023 | Helen Fang |
| Price 2      | 13.20 | 07 Jul 2023 | Helen Fang |
| Price 3      | 13.40 | 01 Sep 2023 | Helen Fang |
| Price 4      | 14.00 | 17 Oct 2023 | Helen Fang |
| Price 5      | 15.20 | 31 Oct 2023 | Helen Fang |
| Price 6      | 16.40 | 23 Jan 2024 | Helen Fang |
| Price 7      | 20.00 | 27 Mar 2024 | Helen Fang |
| Price 8      | 19.50 | 16 Jul 2024 | Helen Fang |
| Price 9      | 19.00 | 27 Aug 2024 | Helen Fang |
| Price 10     | 17.50 | 15 Oct 2024 | Helen Fang |
| Price 11     | 13.50 | 04 Nov 2024 | Helen Fang |
| Price 12     | 15.50 | 13 Jan 2025 | Helen Fang |
| Price 13     | 17.50 | 12 Mar 2025 | Helen Fang |
| Price 14     | 18.00 | 09 Apr 2025 | Helen Fang |
| Price 15     | 18.70 | 04 Jul 2025 | Helen Fang |
| Price 16     | 19.50 | 04 Aug 2025 | Helen Fang |
| Price 17     | 17.00 | 02 Sep 2025 | Helen Fang |
| Price 18     | 21.40 | 05 Nov 2025 | Helen Fang |
| Price 19     | 25.80 | 15 Jan 2026 | Helen Fang |
| Price 20     | 39.00 | 03 Mar 2026 | Helen Fang |
| Price 21     | 46.00 | 30 Apr 2026 | Helen Fang |
| Price 22     | 50.00 | 22 May 2026 | Helen Fang |

Source: HSBC

### Weichai Power A (000338.SZ) share price performance CNY Vs HSBC rating history



### Rating & target price history

| From         | To    | Date        | Analyst    |
|--------------|-------|-------------|------------|
| Hold         | Buy   | 05 Dec 2022 | Helen Fang |
| Buy          | Hold  | 04 Nov 2024 | Helen Fang |
| Hold         | Buy   | 13 Jan 2025 | Helen Fang |
| Buy          | Hold  | 02 Sep 2025 | Helen Fang |
| Hold         | Buy   | 05 Nov 2025 | Helen Fang |
| Target price | Value | Date        | Analyst    |
| Price 1      | 14.90 | 07 Jun 2023 | Helen Fang |
| Price 2      | 14.00 | 07 Jul 2023 | Helen Fang |
| Price 3      | 15.00 | 01 Sep 2023 | Helen Fang |
| Price 4      | 16.20 | 17 Oct 2023 | Helen Fang |
| Price 5      | 17.40 | 31 Oct 2023 | Helen Fang |
| Price 6      | 18.50 | 23 Jan 2024 | Helen Fang |
| Price 7      | 22.60 | 27 Mar 2024 | Helen Fang |
| Price 8      | 22.40 | 16 Jul 2024 | Helen Fang |
| Price 9      | 21.90 | 27 Aug 2024 | Helen Fang |
| Price 10     | 19.90 | 15 Oct 2024 | Helen Fang |
| Price 11     | 15.30 | 04 Nov 2024 | Helen Fang |
| Price 12     | 17.90 | 13 Jan 2025 | Helen Fang |
| Price 13     | 20.10 | 12 Mar 2025 | Helen Fang |
| Price 14     | 20.50 | 09 Apr 2025 | Helen Fang |
| Price 15     | 20.30 | 02 May 2025 | Helen Fang |
| Price 16     | 19.00 | 04 Aug 2025 | Helen Fang |
| Price 17     | 16.50 | 02 Sep 2025 | Helen Fang |
| Price 18     | 20.40 | 05 Nov 2025 | Helen Fang |
| Price 19     | 24.30 | 15 Jan 2026 | Helen Fang |
| Price 20     | 33.00 | 03 Mar 2026 | Helen Fang |
| Price 21     | 39.00 | 30 Apr 2026 | Helen Fang |
| Price 22     | 42.00 | 22 May 2026 | Helen Fang |

Source: HSBC

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| WEICHAI POWER     | 2338.HK   | 34.10        | 30 Jun 2026 | 4, 7, 11   |
| WEICHAI POWER A   | 000338.SZ | 27.80        | 01 Jul 2026 | 4, 7, 11   |

Source: HSBC

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